

SECTION M - EVALUATION FACTORS FOR AWARD

PART A: GENERAL INFORMATION

1.0 BASIS FOR AWARD

1.1 The Government intends to make a fair opportunity selection and award one Task Order (TO) to the responsible Contractor whose Offer conforms to the Request for Offer (RFO) requirements and is determined to have the Highest Technically Ranked Offer (HTRO) with a fair and reasonable price based upon an assessment of the evaluation factors described in this RFO. This approach does not allow for any trade-off between the Technical Factor and the Cost/Price Factor; as such, there is no relative weighting of these Factors between each other. The Key Personnel prerequisite is pass/fail so there is no weight assigned. However, a Contractor must receive a Pass for the Key Personnel prerequisite to be eligible for award.

1.2 The Government does not evaluate every requirement of the TO under Section M of the RFO. The awarded Contractor, however, is required to comply with all requirements of the awarded TO.

1.3 Although the Government may waive informalities and minor irregularities in Offers received, the failure to comply with terms and conditions of the RFO may adversely impact the Contractor's evaluation and may result in the Contractor being removed from consideration for award.

2.0 EVALUATION PROCESS

2.1 This TO evaluation and award is a streamlined evaluation and award conducted pursuant to FAR 16.507.2. This streamlined evaluation and award contains fewer Offer requirements and is not being conducted using the formal source selection procedures of FAR Subpart 15.2. Because this streamlined evaluation and award is not using the formal source selection procedures of FAR Subpart 15.2, procedures such as a competitive range determination, pre-award notifications to Contractors excluded from a competitive range, pre-award debriefings, oral or written discussions with all Contractors within a competitive range and requesting final Offer revisions from all Contractors included within a competitive range are not required. The identification of terminology similar to use in FAR Subpart 15.2, the Government's questions and comments, and the Contractor's answers and responses do not constitute discussions, clarifications, communications, or exchanges as used in FAR Subpart 15.2

2.2 Under FAR 16.507-2, the Government is required to afford all Contractors under the multiple-award contract a fair opportunity to submit an Offer and have that Offer fairly considered. The Contractor's initial Offer must contain the Contractor's best terms, conditions, and prices.

2.3 The Government may, at any time during the evaluation, have oral or written interchanges with one or more Contractors in response to any evaluation factor, or any other aspect of the Offer. Each Contractor will be treated fairly; however, that does not mean that interchanges will be conducted with each Contractor or that all interchanges will be of the same nature or depth. The Government may hold interchanges with one, some, none, or all of the Contractors to address any issues and settle the final terms of the TO.

2.4 Interchanges may include requests for written responses and/or submission of change pages/revisions. Interchanges may be used to enable the Government to determine the Contractor's

understanding of RFO requirements, enhance the Government's understanding of the Offer, fix errors or omissions, as well as obtain other information to facilitate the Government's ability to evaluate the Offer and make a fair opportunity selection.

2.5 The Government may use information other than that provided by the Contractor in its evaluation to validate the contents of the Offer.

2.6 All submitted information must strictly adhere to the guidelines outlined in Section L of this RFO. Contractors are hereby advised that failure to comply with the detailed offer format instructions specified in Section L, Part A, paragraph 2.0, including all subordinate subparagraphs, may render the Offer non-compliant. Consequently, such Offers may be disqualified from further consideration or evaluation.

3.0 PROPOSED FEATURES AS PERFORMANCE REQUIREMENTS

3.1 The Government may incorporate specific features of a Contractor's proposed approach, which provide benefit to the Government, directly into the resulting TO without interchanges.

3.2 Interchanges with a Contractor regarding these proposed features do not constitute competitive negotiations as defined in FAR Subpart 15.204-2, because FAR Subpart 15.204-2 does not apply to this TO competition conducted under FAR Subpart 16.507-2.

4.0 EVALUATION FACTORS AND METHODOLOGY FOR AWARD

4.1 The Government will evaluate Offers for compliance with terms and conditions. The Offer must demonstrate that the Contractor's approach will ensure the successful performance of the TO requirements. Offer information provided for one factor may be used to assess other factors if the Government deems it appropriate.

4.2 The Government will use a multi-step approach to perform the evaluation. The Government will make the award determination using a three-step process. The Contractor is required to submit its Offer in its entirety in order to be considered during the fair opportunity competition.

4.2.1 Step 1: The Government will evaluate Volume 1 - Prerequisites via Pass/Fail ratings. In accordance with Section M, Part B, paragraph 1.2, if an Offer receives a "Fail" rating for the Key Personnel prerequisite, the Government will not evaluate the Offer any further.

4.2.1.1 The Government will evaluate the Contractor's Volume 1, Key Personnel (Attachment P1) (Section L, Part B, paragraph 1.1) to determine if each of the proposed Key Personnel meet the RFO's requirements specified in Section C, Statement of Work (SOW), paragraph 3.4 and assess as Pass or Fail.

4.2.2 Step 2: The Government will evaluate Volume 2 - Technical via comparative analysis as described below.

4.2.2.1 Following receipt of the Offer, including the Oral Presentation - Sample Tasks, the Government will rank the Technical Offers via a comparative analysis, that directly compares Contractor proposals to one another, to determine the HTRO that is best suited to fulfill the TO requirements by considering the following Technical Element: Sample Task.

4.2.2.2 Once the Government determines the HTRO Contractor, the Government reserves the right to interact and interchange with only that Contractor to address any remaining issues, if necessary, and finalize a TO with that Contractor.

4.2.3 Step 3: The Government will evaluate the Volume 3 Cost/Price for cost realism and reasonableness in accordance with FAR Subpart 15.4. The Government intends to limit the cost/price evaluation to only the HTRO. However, if the HTRO price is deemed unrealistic, the Government will proceed to the next highest-ranked offer until a suitable and reasonably priced offer is identified.

PART B: PREREQUISITE ASSESSMENT

1.0 KEY PERSONNEL

1.1 Prior to evaluating any other portion of the Contractor's Offer, the Government will evaluate each Contractor's Volume 1 Key Personnel (Attachment P1s) and assign a Pass or Fail rating (see Section M, paragraph 4.1).

1.2 The Government will assign a Fail rating to any Offer that:

1.2.1 Omits submitting an Attachment P1 for any of the Key Personnel positions or where an Offer includes more proposed Key Personnel/Attachment P1s than the number of Key Personnel required as stated in Section C, SOW, paragraph 3.4.2;

1.2.2 Does not clearly demonstrate that each Key Personnel proposed via an Attachment P1 is consistent with the named Key Personnel proposed within the Attachment C1 for the base year and all subsequent option years (option years 1–4);

1.2.3 Does not provide a Letter of Commitment containing the information required in Section L, Part C, paragraph 3.3.1.1.3 for each proposed Key Personnel that are contingent hires;

1.2.4 Proposes a prospective hire as Key Personnel; or

1.2.5 Does not clearly demonstrate that each of the proposed Key Personnel meet the following:

1.2.5.1 Required education (College Degree and Degree Major) for the respective Key Personnel labor category (listed in Section C, SOW); or

1.2.5.2 Required experience for the respective Key Personnel labor category (listed in Section C, SOW).

1.3 An Offer assigned any Fail rating is not eligible for award and will not be further evaluated.

PART C: METHODOLOGY FOR SPECIFIC EVALUATION FACTORS

1.0 PREREQUISITES

See Section M, Part B, paragraph 1.0.

2.0 TECHNICAL

The Government will perform a comparative analysis of each Contractor's oral presentation response to the Sample Task scenario located in Section L, Part C, paragraph 2.1.3 and will analyze the approaches and methodologies presented. The analysis will be based on the criteria identified in Section L, Part C,

paragraphs 2.1.3.1.1 through 2.1.3.1.10. The Government will evaluate any inherent risks or opportunities with the Offeror's presented approach that could positively or negatively impact the Government in the execution of the Contract. The analysis will determine the HTRO and establish a rank order for all other offers (e.g., second, third).

3.0 COST/PRICE

3.1 Subcontractor Contract Type Other than Cost Reimbursable. The Government will not perform realism analysis on Subcontractor Offers that are proposed as a contract type other than cost reimbursable (e.g., FFP, FFP LOE, T&M etc.).

3.1.1 Contingent Hires. The Government will utilize the salary information stated within the Letter of Commitment submitted as an enclosure to Attachment C3. Offers with a proposed contingent hire fully burdened labor rate (FBLR) lower than that stated in the Letter of Commitment will be considered unawardable.

3.2 Cost Reimbursable Contract Type. The Government will evaluate the Contractor's and Subcontractor's Volume 3, Attachment C1 - Cost Workbook and Attachment C2 - Cost Reimbursable Narrative (Step 3) for cost realism and reasonableness. The Government will review the items submitted by the Contractor in Section L, Part B, paragraph 3.2 to ensure the information provided is accurate, complete, and meets the requirements of the solicitation. This review will be conducted as part of the responsibility determination to verify the Contractor's ability to perform the contract successfully.

3.3 Cost Realism Analysis for Contractor and Subcontractors proposing a cost reimbursable contract type.

The Government will perform a cost realism analysis to determine the most probable cost (MPC) only for the HTRO Contractor's Cost/Price Offer. The MPC is the Contractor's total cost, including fee, and any additional adjustments the Government has determined necessary to make the proposed cost realistic for all periods (base and all option periods). The MPC may differ from the proposed cost. The Government, generally, will not make downward adjustments.

3.3.1 Any discrepancy(ies) between the proposed labor categories and Government-specified labor categories stated in Section L, Part C, paragraph 3.5.1 will make the Offer ineligible for award, with no further evaluation of the Cost/Price Offer conducted by the Government.

3.3.2 In conducting its cost realism evaluation, the Government will review the prospective Contractor and Subcontractor Offers as follows:

3.3.2.1 Prospective Hires. The Government will utilize the minimum rates stated within the "Minimum Direct Labor Rates" worksheet of Attachment C1. Offers with prospective hire direct labor rates lower than those in the Attachment C1 "Minimum Direct Labor Rates" worksheet will be considered unawardable.

3.3.2.2 Contingent Hires. The Government will utilize the salary information stated within the Letter of Commitment submitted as an enclosure to Attachment C2. Offers with a contingent hire direct labor rate lower than that stated in the Letter of Commitment will be considered unawardable.

3.3.2.3 Current Employees. The Government will verify the direct labor rates proposed against the payroll verification provided within Table 6 – Hourly Direct Labor Rates for Current Employees of Attachment C2. If the rates proposed are not the same as the payroll verification rates, the Government will review the justification provided and upwardly adjust as appropriate. If the Contractor did not apply escalation to the payroll-verified rates to coincide with the beginning of the Period of Performance and does not provide adequate justification for not applying escalation, the Government will adjust the payroll verified rate to include applicable escalation.

3.3.2.4 Pertinent cost information includes, but is not limited to, the most current Defense Contract Audit Agency (DCAA) Direct and/or Indirect Rate Approval Letters, DCAA Forward Pricing Rate Agreement or Recommendation, and/or Defense Contract Management Agency (DCMA) Letters (such as accounting system letters, property management system letters, etc.), as applicable, as well as Contractor-specific historical indirect and escalation rate information, Bureau of Labor Statistics (BLS) Wage Data, and BLS Employment Cost Index (ECI) information. All of these may be used to arrive at the Government's determination of the MPC.

3.3.2.5 Escalation

3.3.2.5.1 Non-SCA Labor Categories. The Government will utilize pertinent cost information. If the Contractor and or Subcontractor proposes escalation rates lower than their historical escalation rate actuals, the Contractor and Subcontractor shall provide a justification for the rate proposed. A failure of the Contractor or its Subcontractors to provide rationale to support proposing a lower escalation rate than the most recent historical escalation rate actuals may result in a determination that the rate is unrealistic; and the Government will upwardly adjust the escalation rate to coincide with pertinent cost information. If no historical escalation rate actuals are provided and the escalation rate proposed is lower than the escalation rate provided in Section L, Part C, paragraph 3.3.1.2.1, the Government will upwardly adjust the proposed escalation to the Government's escalation rate stated in Section L, Part C, paragraph 3.3.1.2.1.

3.3.2.5.2 SCA Labor Categories. The Government will utilize the minimum escalation rate stated in Section L, Part C, paragraph 3.3.1.2.2. If the proposed escalation to SCA labor categories is less than the Government's minimum escalation rate, the Offer will be unawardable.

3.3.2.6 Indirect rates. The Government will utilize pertinent cost information in evaluating indirect rates. A failure by the Contractor or Subcontractor to provide rationale to support proposing a lower indirect rate than the most recent historical actual indirect rate may result in a determination that the rate(s) are unrealistic; and the Government will upwardly adjust the indirect rate to coincide with pertinent cost information.

3.3.2.7 Service Contract Labor Standards. The Government will evaluate the Contractor's, including Subcontractors', compliance with minimum monetary wages and fringe benefits for service employees as specified in the Wage Determinations (attached in Section J) and in accordance with FAR 52.222-41 Service Contract Labor Standards (DEVIATION).

3.3.2.8 If there is a discrepancy between the Subcontractor's fully burdened rates in the Contractor's C1 and the fully burdened rates in the Subcontractor's C1, the higher of the two fully burdened rates will be utilized for cost realism in establishing the Government's MPC.

3.3.2.9 The higher value of any individual cost element will prevail if there are discrepancies within the Cost/Price Volume. Discrepancies may impact the Government's cost realism analysis of the Contractor's Offer or its eligibility for award.

3.4 Evaluation of Options. FAR clause 52.217-8, Option to Extend Services, is incorporated in the RFO. Total evaluated cost/price will also include the six-month performance period permitted under the clause, to account for a situation where invoking of the clause, in whole or part, becomes necessary. Specifically, the evaluated cost/price of this six-month period will be calculated by dividing the final option period by two (2) to establish the estimated cost for the six-month option to extend services.

3.5 Reasonableness Analysis. As part of the reasonableness analysis, the Government will identify all instances where a proposed fully burdened labor cost exceeds the NAVAIR labor tripwire of \$420K annually per employee. This also applies to fully burdened Subcontractor employee labor cost, inclusive of the prime Contractor's pass-through burden. Any fully burdened annual labor cost exceeding the tripwire may ultimately be determined unreasonable absent justification.

3.6 Minimum Labor Cost. The Government will evaluate the Contractor's proposed labor cost to ensure it meets or exceeds the minimum labor cost stated in Section L, Part C, paragraph 3.1.6. If the proposed labor cost falls below the stated minimum cost, the Government will review the justification provided by the Contractor. If the proposed labor cost is less than the Government's stated minimum labor cost without adequate, or any, justification, the Offer will be determined unawardable. Contractors and Subcontractors proposing the Minimum Direct Labor Rates for Prospective Hires is not adequate justification.

3.7 RESERVED

3.8 Organizational Conflict of Interest. The Government will evaluate the Contractor's, including Subcontractor's, response to KTXT.209-9511 Organizational Conflict of Interest Representation and LTXT.209-9513 Organizational Conflict of Interest Instructions to assess whether or not an actual or potential OCI exists as defined in FAR Subpart 9.5. If an actual or potential OCI is identified that cannot be feasibly mitigated, avoided, or resolved in accordance with FAR Subpart 9.5, the Contracting Officer will determine whether such interests or contracts present potential organizational conflicts of interest which could preclude award to the Contractor.

4.0 DEFINITIONS

4.1 PREREQUISITE (KEY PERSONNEL) RATING

For the Key Personnel prerequisites, the Contractor will be assigned a Pass or Fail rating.

<u>Rating</u>	<u>Description</u>
Pass	Offer meets the minimum requirements of the RFO.
Fail	Offer does not meet the minimum requirements of the RFO.